

YSS pitch deck

PITCH — YSS — VERDICT

ADJUDICATED — NO ENTRY. Stay flat. The adjudicated buy zone (\$12–15) was written on a pre-cut information set that the 8/13–8/14 filings destroyed; the price has fallen *through* that zone to \$9.76 for reasons the zone did not contemplate, so the flush is not a discount — it is a repricing we cannot yet value. Reopen is evidence-gated, not price-gated.

What we believe

York Space Systems builds satellites and satellite buses, mostly for one U.S. government customer. It went public on 2026-01-29 at a growth multiple, and it has since lost about 78% of its value from the high.

Our honest belief, after both benches worked the filings, is narrower than the original idea:

1. **The company is not about to fail.** It holds roughly \$379M of cash against \$148.1M of term debt and an undrawn \$150M revolver. Gross margin is around 24% and improving. This is not a solvency story.
2. **The growth story that justified the IPO price was never supported by arithmetic.** First-half 2026 revenue was \$208.9M, up 9.9% from \$190.1M. Management's original full-year guide of \$545–595M required the second half to grow 71–97%. They reaffirmed that guide on 2026-05-12, after a quarter that showed no acceleration at all. On 2026-08-13 they cut to \$375–405M, which implies a second half that *shrinks* 0–15% year over year.
3. **The cash burn is a delayed-shipment signature, not a demand collapse — but that distinction is smaller than it sounds.** Operating cash flow was –\$186.6M in the first half. The biggest year-over-year deterioration came from inventory (up 123%, from \$18.7M to \$41.8M) and receivables, which is what a company looks like when hardware is built but not yet delivered and billed. That was the original test the idea set for itself, and it partly passes.
4. **What actually blocks us is three things that all resolve at one future observation:** a revenue covenant with 0.7% of headroom at year-end; a CFO change announced eight days before the guide cut; and an unresolved integrity allegation neither bench examined.
5. **We do not currently have a defensible fair value.** The adjudicated \$16–20 was set before the guide cut. We cannot reproduce it on post-cut numbers, and we will not pretend otherwise.

What the market believes

The market has moved from “high-growth space prime” to “show me.” Specifically, the price at \$9.76 embeds:

- An enterprise value of roughly **\$1.11B** (\$1.34B market value at 137.36M shares, less \$379M cash, plus \$148.1M term debt). That is **2.7–3.0x** the new, cut revenue guide.
- No credit for the \$592M backlog or the \$1.07B contract ceiling the company markets. (Both figures are from an investor deck, not from the 10-Q — we have not verified either.)
- Continued distrust of management forecasts, which is rational given the May reaffirmation.
- Ongoing insider and institutional supply: the IPO lock-up expired in late July, there was a cluster of insider sale filings on 7/31–8/10, and a large institutional holder filed a full exit on 8/14.

Sell-side price targets sit around \$17–18 — roughly 80% above the tape — while ratings are mostly “Hold.” That combination is target-lag, the least informative kind of anchor, and we are not building anything on it.

The one thing the market may *not* have fully absorbed: the year-end revenue covenant. We found no evidence it is being discussed publicly, and the low end of the company’s own new guide clears it by \$2.5M.

Why we might have edge

- **We read the covenant schedule.** Note 7 of the 10-Q discloses a trailing-twelve-month minimum revenue test: \$264.4M at 6/30/26, \$319.2M at 9/30/26, and **\$372,510,143 at 12/31/26**, escalating to \$758.5M by late 2028. Against a guide low end of \$375M, that is 0.7% of room. Most people stop reading at “compliant as of the balance sheet date.”
- **We did the quarter arithmetic on that covenant, and it corrects one of our own benches.** The 9/30 test is essentially free: the trailing-twelve-month base already contains \$105.3M from Q4-2025, so the company needs only about \$5M of Q3 revenue to pass it. The *binding* test is 12/31. First-half revenue was \$208.9M, so the second half must total **\$163.6M — about \$81.8M per quarter versus \$92.5M in Q2** — with no margin for a slip. That is a specific, dated, checkable number that our own blue bench’s proposed gate (“trailing revenue ≥ \$340M at 9/30”) would have waved through.
- **We separated the seasonal from the structural in the cash flow.** Our red bench’s headline finding — that customer prepayments had been “exhausted” — turned out to be a calendar artifact. The 10-Q discloses both years: \$108.1M of the opening prepayment balance was consumed in H1-2026 versus \$114.1M in H1-2025, a 5% decline, and the balance refilled to \$110.3M by year-end last year. The company draws down advances every first half. What survives is smaller and real: *new* advances collected fell from roughly \$41M to roughly \$12M.
- **We noticed the sequencing of the CFO exit.** The 8-K dated 2026-08-05 announced the CFO stepping down with an interim effective 8/14 — eight days before the guide cut and effective the day the 10-Q was filed.
- **We know what we cannot see, and we say so.** This is an ITAR-controlled defense prime with one customer. Our physical-flow detectors returned nothing: zero customs bill-of-lading records, no satellite thermal or construction reads run. There is no outside-the-filings channel here. Most stories give us one; this one does not.

Why it might be priced in

Honestly, most of it probably is.

- **2.7–3.0x cut revenue** is not a growth multiple. The market has already marked the forecast down.
- **The single-customer concentration (96% of first-half revenue) is a risk factor in every initiation report.** It is a size cap for us, not a discovery. Our red bench tagged it as a novel find; that tag is wrong.
- **The stock is already 9.8% off its 52-week low.** Whatever forced selling happened around the lock-up has begun to clear. There is no panic tape to buy into right now.
- **The covenant may be defused by a phone call.** The credit agreement contains a “Leverage Covenant Toggle” — a one-sided written election by the company that swaps the revenue test for a 4.50x first-lien net leverage test. With \$148.1M of term debt against \$379M of cash, first-lien net leverage is negative. Management can almost certainly step out of the trap. We have not seen them elect it, but the escape hatch exists and sophisticated credit investors will know that.
- **The insider supply is a known, dated, mechanical event,** not a secret.

Our genuine edge, if any, is narrow: the exact 12/31 covenant number, the per-quarter revenue it implies, and whether the toggle election ever gets disclosed. That is a monitoring edge, not a valuation edge.

What could go wrong

(Pre-mortem, v1.7. We hold no position. This is the failure analysis for the 0.25% starter we would take if the reopen conditions were met.)

Failure narrative 1 — The covenant traps them and the fix costs equity holders.

(Monitorable.) Q3 revenue prints near \$60–70M instead of \$82M. Year-end trailing revenue lands under \$372.5M. Management either did not elect the toggle or the lenders extract a price for the amendment — fees, a higher coupon, a springing test, or an equity issue at a distressed price. Our starter is diluted or the stock re-rates to a credit story. *Tripwires:* Q3 revenue below \$80M; absence of an 8-K disclosing the toggle election by 12/31; any 8-K under Item 1.01 or 2.04; any S-1 or 424B filing indicating a follow-on. All observable in advance of the loss.

Failure narrative 2 — The one customer re-scopes, and the backlog turns out to be a ceiling, not a commitment. (Monitorable, with a lag.)

The adjudication records that the Tranche 3 Transport program was zeroed for FY27 with a sole-source award going elsewhere (Starshield). Neither bench independently verified this — it is the single most important forward-revenue fact in the file and it sits outside both benches’ work. If it is right, the \$592M backlog and \$1.07B ceiling are largely unfundable, and the 2027 revenue base is far below anything the current multiple assumes. Second-quarter bookings ran at roughly 0.46x of revenue, which is consistent with this. *Tripwires:* contract liabilities failing to rebuild above ~\$60M by year-end; bookings staying below 1.0x; an 8-K naming a

program termination or descope; appropriations language in the FY27 budget. The lag is the problem — we may learn this two quarters after the customer decided it.

Failure narrative 3 — The revenue was never as earned as reported. (NO MONITORABLE TRIPWIRE.) A short-seller report (Wolfpack) alleges integrity problems; the adjudication records it as partially corroborated — a software disappointment on the customer’s program and a \$5.5M estimate-at-completion reserve. This company recognizes revenue on long-term contracts using percentage-of-completion, which means reported revenue is a *management estimate* of progress toward completion. If those estimates were optimistic, the correction arrives as a restatement or a large catch-up reserve, and the loss is instantaneous and un-hedgeable.

There is no tripwire for this, and I want to be explicit about why rather than pretend a sensor exists.

Unknown-unknown class: unobservable-by-construction — management-discretion accounting on a classified, single-buyer program. Every external channel we would normally use is structurally closed here. Customs records return zero shipments (expected for an ITAR prime, and therefore uninformative in both directions). There are no consumer reviews, no permits that matter, no second customer to triangulate against, and no public program-level appropriation detail. The first observation of this failure *is* the disclosure of it. Under our own tainted-integrity rule, this alone means the name can never be treated as fairly-priced-and-ownable at full size, and caps any fair value we assign at 0.85x.

The reflexive and structural leg — our own footprint and our own rules.

- *Size versus liquidity: unmeasured, and that is a real gap.* Our live-quote tool was permission-denied for both benches this session, so we have no live bid/ask, no volume, and **no average daily volume figure at all**. Our published rule is that ladders stay under 1% of average daily volume, and right now we cannot demonstrate compliance with our own rule. A 0.25% starter is small in dollars, but “small in dollars” is not the test — the test is share count against a tape we have not seen.
- *We would be bidding into flow we ourselves predict.* Our lock-up detector fired: insider sales cluster 7/31–8/10, institutional exit 8/14, share count up 8.04M between 6/30 and 8/12 from restricted-stock settlement. Our own flow-gate rule says do not put a resting bid underneath supply we have already forecast. Any limit order in the \$8–10 area is, in effect, offering liquidity to a seller we identified in advance.
- *Doctrine collisions, stated plainly.* Our “clean court gets a minimum starter” default would normally push us to take a small position rather than sit at zero. It does not apply here, because that default requires a court with **no named kill**, and this court has two named kills (0.7% covenant headroom; unresolved integrity overhang). Meanwhile the tainted-integrity rule forbids treating this as fairly-paid risk at all, and the pay-up allowance does not apply because fairness is unverified rather than verified-and-modestly-rich. The rules are consistent here; they all point the same direction, which is flat.
- *The symmetric failure of doing nothing.* If Q3 shows inventory converting to deliveries and the toggle election is disclosed, this becomes a clean timing dislocation at 2.7x trough revenue and it

will not be at \$9.76 when we get there. Staying flat has a cost and we are choosing to pay it.

If this position loses money, the most likely reason will be that we bought a delayed-shipment story that was actually an accounting story — that the percentage-of-completion estimates on the single customer’s programs were optimistic, and the write-down arrived as a disclosure we had no way to see coming, on a name where every external verification channel is closed by ITAR and single-buyer concentration.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Customer prepayments are “exhausted,” causing the burn	Compared both years’ cash-flow columns and the contract-liability note in the 10-Q	Opening-balance consumption was \$108.1M in H1-26 vs \$114.1M in H1-25 — down 5%. Prior year also drew down and refilled by December. Seasonal cycle, not exhaustion. New advances did fall, ~\$41M → ~\$12M	NO — our red bench’s headline kill is refuted. It compared a mid-year trough to a year-end peak
Cash burn is delayed shipments building in inventory	Year-over-year change in each working-capital line	Inventory \$18.7M → \$41.8M (+123%) on +10% revenue; receivables the other main driver. This is the delayed-shipment signature the original idea predicted	YES on the margin, NO on levels — inventory plus unbilled work is only a third of the total drain, which is what red measured; the incremental burn is inventory and receivables, which is what blue measured. Both were right about different things
The credit agreement’s revenue covenant level is undisclosed	Read Note 7 of the 10-Q directly	Fully disclosed and dated: \$264.4M / \$319.2M / \$372.5M for 6/30, 9/30, 12/31/26	NO — red bench error. It called this a coverage gap; it is in the filing
Year-end covenant has 0.7% headroom against guide	Guide low \$375M vs required \$372.5M	Confirmed. Extended it ourselves: H1 was \$208.9M, so H2 must be ≥\$163.6M, about \$81.8M per quarter vs \$92.5M in Q2	YES
Blue’s proposed reopen gate “trailing revenue ≥\$340M at 9/30”	Rebuilt the trailing-twelve-month base	Base already contains \$105.3M from Q4-25 plus \$208.9M from H1-26 = \$314.2M. The gate implies only ~\$26M of Q3 revenue — near-vacuous	NO — blue bench error. We replaced it with a Q3 revenue bar of ≥\$80M
Stock comp is 46% of revenue; dilution ~6% per quarter	Split the SBC by quarter from the 10-Q	Q1 (IPO quarter) \$84.7M was a one-time catch-up; Q2 was \$10.9M. Run-rate is ~\$10M/quarter (~12% of revenue). And lock-up expiry does not create new shares — red’s own mechanism contradicted its own number	NO — red bench error
Enterprise value ~\$960M / 2.5x revenue (original idea)	Read the debt note	Term loan \$148.1M outstanding, revolver undrawn. EV ≈ \$1.11B, i.e. 2.7–3.0x cut guide	NO — original brief error; red’s correction stands

Claim	How checked	Found	Confirmed?
96% of revenue from one customer	10-Q concentration note, verbatim	96% H1-26 vs 95% H1-25 — flat; Q2 91% vs 96% prior-year Q2	YES, but red mis-tagged it as a novel find. It is in every initiation report. It caps our size; it is not new information
Change-of-control tax liability	10-Q tax-receivable note	~\$347M of attributes, ~\$261M early-termination value; company states payment is not probable and records no liability	YES — it caps any takeout premium; it is not a going-concern issue
CFO change timing	8-K dated 2026-08-05	Departure announced 8/5, interim effective 8/14 — eight days before the guide cut, effective the day the 10-Q filed	YES, and adverse
First-half growth is genuinely organic	Looked for pro-forma disclosure	Two acquisitions closed in the period (Orbion, March; Solestial, June). No pro-forma given. Direction is clear, magnitude is not	NO — unresolved. Red asserted the direction as if the size were known
The integrity allegation and the FY27 program zeroing	—	Neither bench examined either one. The adjudication treats them as the central unresolved item; no bench produced primary evidence for or against	NO — both benches erred by omission. This is the largest hole in our own work
Live price and trading volume	Broker quote tool	Permission-denied for both benches. Tape is an 8/24 secondary quote, not a live pull	NO — coverage gap. We violated our own “live price before valuation” rule and are flagging it rather than hiding it
Q3 print date 2026-11-12	Checked filings for a company announcement	Derived from a data vendor. No company press release or 8-K names it	NO — unconfirmed
FY25 revenue \$386.2M	Cross-checked against S-1 figures (FY23 \$238.1M, FY24 \$253.5M, nine-month-2025 \$280.9M)	Arithmetically consistent; implies Q4-25 of \$105.3M	Partially — consistent, but the FY25 total itself is from a deck, not a filed statement

PROPOSED ENTRY BANDS

Status: NO ENTRY. No position, no orders, nothing staged.

A disclosure about the source of these bands: the adjudication’s REOPEN GATES block **arrived empty** in the evidence pack. There was nothing to reproduce verbatim. What follows is therefore assembled from (a) the adjudication’s own verdict line and (b) the benches’ arithmetic, each attributed. If the intended reopen gates exist somewhere, they supersede this section.

Why the adjudicated buy zone cannot simply be used. The adjudication (court 2026-07-28) set fair value at \$16–20 with a fat left tail, a buy zone of \$12–15 only, and called ~\$18 fair-to-rich. The stock is \$9.76 — through the bottom of that zone. That looks like a fill, and it is not, because the zone was

priced off a \$545–595M revenue guide that was cut to \$375–405M on 8/13, before the covenant schedule and the CFO sequencing were known. Reproducing \$16–20 today would require a 5.0–6.9x enterprise-value-to-revenue multiple on a business with 24% gross margin, negative earnings, 96% single-customer concentration, and a guide it just cut. We cannot defend that. **We are marking the \$16–20 fair value stale and declining to publish a replacement until Q3.** Under the tainted-integrity rule, whatever number replaces it is capped at 0.85x anyway.

Reopen conditions — all of the following, evaluated at the Q3 report:

1. **Q3 revenue $\geq$ \$80M.** (*Our derivation from the covenant schedule: H2 must total \$163.6M to clear the 12/31 test of \$372,510,143 against H1's \$208.9M.*) Replaces blue bench's \$340M trailing gate, which we showed above is near-vacuous.
2. **Operating cash flow better than –\$25M for Q3** — inventory converting into deliveries and collections, not compounding. (*Blue bench's gate, retained.*)
3. **A disclosed election of the Leverage Covenant Toggle**, or an amended covenant schedule, in an 8-K or the Q3 10-Q. (*Blue bench's gate, retained.*)
4. **A primary-source read on the two items neither bench covered:** the integrity allegation and the FY27 program status. This gate is ours, not either bench's, and it is a hard gate — under the tainted-integrity rule this name cannot be treated as fairly-paid risk while it is open.

If and only if all four clear: re-court to a **0.25% starter**, hard cap **0.5% of book** regardless of how good it looks. The 96% concentration is a ceiling, not a discount to be paid through. No ladder is to be staged until we have a live quote and an average-daily-volume figure — our own liquidity rule is currently unverifiable and that must be fixed before any order, not after.

No adds, no trims, no exits — there is nothing to add to, trim, or exit.

Price levels, and what they mean (none of them is an order): - **\$8.89** — the 52-week low. A break arms a re-court; it does not authorize a buy. Note our own flow rule: the post-lock-up seller is still clearing, so a resting bid here would be offering liquidity to supply we ourselves forecast. - **~\$7.00** — roughly 2.0x trough guide. If it trades here, the correct response is to re-read the integrity and covenant file, not to average in. - **\$15.00** — the top of the stale adjudicated buy zone. If it is reclaimed before Q3 without the four conditions clearing, the setup is gone. Close the file; do not chase.

Catalyst dates: - **2026-09-30** — covenant measurement, \$319,190,794 trailing. Passes on roughly \$5M of Q3 revenue. Not a real test; recorded so nobody mistakes it for one. - **2026-11-12** — Q3 report. **UNCONFIRMED** — vendor-derived, no company announcement. This is the single observation at which all four reopen conditions resolve. Confirming this date is itself an open task. - **2026-12-31** — covenant measurement, \$372,510,143 trailing. The binding test. Guide low end clears it by \$2.5M. - **Undated** — disclosure of a toggle election, if it happens; FY27 appropriations detail on the affected program.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 7.0 (deck-provisional: ~2.0x trough FY26 guide; forces a solvency and accounting-integrity re-read rather than an average-dow)
- filing watch: 8-K until 2027-02-20 (deck-provisional: Item 1.01/2.04 credit-agreement amendment or covenant default, and any disclosed Leverage Covenant Tog)
- dated pack YSS|2026-07-29: York Space Systems (YSS), defense-space, AE Industrial control sponsor IPO lock-up air-pocket, cliff 2026-07-29. DATA: IBKR intraday tape +
- dated pack YSS|2026-09-30: YSS: Covenant measurement, minimum TTM revenue \$319,190,794 — clears on roughly \$5M of Q3 revenue given \$105.3M of Q4-25 in the base; record
- dated pack YSS|2026-11-12: YSS: Q3 2026 report — the single observation at which all four reopen conditions resolve; date is vendor-derived, no company release or 8-K
- dated pack YSS|2026-12-31: YSS: Binding covenant measurement, minimum TTM revenue \$372,510,143 vs guide low end \$375M — 0.7% headroom; implies H2 revenue >=\$163.6M, ab

What remains unverified

- **The integrity allegation.** Partially corroborated per the adjudication (a software disappointment on the customer's program, a \$5.5M estimate reserve), but neither bench read the underlying report or the company's response. This is the single largest hole in our work and it is the one with no sensor.
- **The FY27 program zeroing and the competing sole-source award.** Taken from the adjudication; not independently confirmed by either bench. It is the most important forward-revenue fact in the file.
- **Backlog of \$592M and the \$1.07B contract ceiling.** Investor-deck figures. Neither appears in the 10-Q text we read. We do not know how much of the backlog is funded versus authorized-but-unfunded.
- **The identity of the customer.** The 10-Q does not name them. Program disclosures and the adjudication point to a specific defense agency; we have not confirmed it from a primary source.
- **Organic growth excluding the two acquisitions.** No pro-forma disclosure. We know the direction, not the size.
- **The composition of the 8.04M share increase** between 6/30 and 8/12 — restricted-stock settlement versus acquisition consideration, including the ALL.SPACE cash/stock split.
- **FY25 revenue of \$386.2M.** Arithmetically consistent with the S-1's disclosed periods, but sourced from a deck rather than a filed statement. It sits inside the covenant base, so it matters.
- **Live tape.** Everything here rests on a secondary quote dated 8/24. No live bid/ask, no volume, no ADV.
- **The Q3 report date.**
- **Physical activity at the manufacturing sites.** Both benches named a satellite thermal read as the single best physical test of "delayed versus lost." Neither ran it. Customs records returned

zero shipments, which is expected for a controlled defense prime and therefore tells us nothing.

Primary sources: 10-Q for the quarter ended 2026-06-30 (accession 0001628280-26-056874) — <https://www.sec.gov/Archives/edgar/data/2086587/000162828026056874/yss-20260630.htm> — cash-flow comparatives, contract-liability note, stock-compensation note, Note 7 covenant schedule, customer concentration, tax-receivable agreement. 8-K dated 2026-08-05, CFO transition — <https://www.sec.gov/Archives/edgar/data/2086587/000162828026053314/pressreleasekm.htm> S-1 — <https://www.sec.gov/Archives/edgar/data/2086587/000119312525284187/d941199ds1.htm> — FY23, FY24, nine-month-2025 revenue. SEC XBRL company concepts, CIK 0002086587 — <https://data.sec.gov/api/xbrl/companyconcept/CIK0002086587/> — revenue, operating cash flow, inventory, contract assets and liabilities, cash, shares outstanding. *All SEC documents above were retrieved through a text-extraction proxy after direct fetches were blocked; the pack's own XBRL block arrived empty and was closed this way.*

```
{"price_gates": [{"level": 8.89, "direction": "below", "basis": "52-week low  
break; arms a re-court and a fresh integrity read, authorizes no  
order – post-lockup supply is still clearing and a resting bid here  
offers liquidity to flow we ourselves forecast."}, {"level": 7.0,  
"direction": "below", "basis": "~2.0x trough FY26 guide; forces a  
solvency and accounting-integrity re-read rather than an average-  
down."}, {"level": 15.0, "direction": "above", "basis": "Top of the  
stale adjudicated $12-15 buy zone reclaimed without the four reopen  
conditions clearing; close the file, do not chase."}],  
"event_gates": [{"forms": ["8-K"], "why": "Item 1.01/2.04 credit-  
agreement amendment or covenant default, and any disclosed Leverage  
Covenant Toggle election, against the 12/31/26 minimum TTM revenue  
of $372,510,143."}, {"forms": ["8-K"], "why": "Item 4.02 non-  
reliance on prior financials – the only sensor for the percentage-  
of-completion integrity failure, and it fires simultaneously with  
the loss, not before it."}, {"forms": ["8-K"], "why": "Program  
award, descope, or termination naming the ~96% single customer,  
including any competing sole-source award on the FY27 transport  
program."}, {"forms": ["10-Q"], "why": "Q3 print: revenue >=$80M,  
OCF better than -$25M, inventory converting not compounding,  
contract liabilities rebuilding above ~$60M, bookings >=1.0x."},  
{"forms": ["S-1", "424B", "424B4"], "why": "Follow-on equity would  
signal the covenant or liquidity fix is being paid for by  
shareholders."}, {"forms": ["4", "144", "SC 13D", "SC 13G"], "why":  
"Post-lockup insider and sponsor supply is the flow we would  
otherwise be bidding underneath; extend watch to 2027-01-31 (prior  
watch expired 2026-08-15)."}], "catalyst_dates": [{"date": "2026-09-  
30", "what": "Covenant measurement, minimum TTM revenue $319,190,794  
– clears on roughly $5M of Q3 revenue given $105.3M of Q4-25 in the  
base; recorded so it is not mistaken for a live test.", "confirmed":  
true}, {"date": "2026-11-12", "what": "Q3 2026 report – the single  
observation at which all four reopen conditions resolve; date is  
vendor-derived, no company release or 8-K names it.", "confirmed":  
false}, {"date": "2026-12-31", "what": "Binding covenant  
measurement, minimum TTM revenue $372,510,143 vs guide low end $375M  
– 0.7% headroom; implies H2 revenue >=$163.6M, about $81.8M per  
quarter vs $92.5M in Q2.", "confirmed": true}], "immediate_entry":  
null}
```